

Marvell Technology, Inc.

MRVL NASDAQ

Buy

\$237.27 ▲ 9.85%

12M Price Target
\$285.00

52-Week Range
\$61.44 – \$329.88

Market Cap
\$212.96B

MRVL: Google Chip Deal Rewrites the AI Silicon Story

WHAT HAPPENED

- MRVL popped almost 10% on news that Google signed a custom AI chip deal that includes warrants (basically Google getting the right to buy MRVL stock at a set price, tying the two companies together financially). GuruFocus estimates this could add \$6.15 to earnings per share — that's massive for a company earning roughly \$2-3 EPS today.
- Wolfe Research reiterated MRVL as their Top Pick in AI semis this morning, adding fuel. Volume was 43M shares — more than double the recent average — meaning big money was chasing this, not just retail.

WHY IT MATTERS

The Google warrant structure is a bigger deal than the headline suggests — it means Google has skin in the game and is effectively locking MRVL in as a long-term custom silicon partner (custom silicon = chips designed for one specific customer's workload, way more profitable than off-the-shelf). This validates the bull thesis that MRVL is the #2 player after Broadcom in the "design chips for hyperscalers" business — which is arguably the most defensible corner of the AI trade. Watch for Amazon and Microsoft to feel pressure to deepen their own MRVL relationships (Amazon's Trainium chips already use MRVL). The stock at \$237 is still ~28% off its 52-week high of \$329, so there's real room to run if this deal is a template for more.

POLICY & POLITICAL WATCH

The CHIPS Act extension debate is heating up in Washington — the original 2022 law is up for renewal, and there's bipartisan momentum to expand domestic semi manufacturing subsidies, which directly helps MRVL since they're a US-designed chip company outsourcing to TSMC. Bigger picture: the Trump administration's export controls on advanced chips to China are a double-edged sword — MRVL loses some China revenue (roughly 15% of sales), but it also forces US hyperscalers to double down on domestic chip partners like MRVL rather than depend on Asian alternatives. Watch for the Commerce Department's next round of export control updates in September — anything that carves out custom ASIC designs would be a clean tailwind.

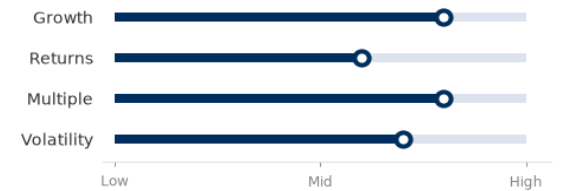
IS IT EXPENSIVE?

At \$213B market cap and ~\$8B in revenue, investors are paying roughly \$26 for every \$1 of sales — that's rich, but Broadcom trades at similar multiples and Nvidia is even higher, so it's in the ballpark for AI silicon. On forward earnings, you're paying about 70x — meaning \$70 for every \$1 the company is expected to earn next year. That's only justified if the Google-style deals keep coming and EPS actually hits the \$6+ trajectory the warrant math implies.

Key Data

Price (USD)	\$237.27
12M Price Target	\$285.00
Upside / (Downside)	+20.1%
Market Cap	\$212.96B
FY2026E Revenue	\$8,200M
FY2027E Revenue	\$10,800M
FY2026E EPS	\$2.15
FY2027E EPS	\$3.40
Fwd P/E	69.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$260.00	\$245.00	\$215.00
6 Months	\$300.00	\$270.00	\$200.00
1 Year	\$340.00	\$285.00	\$190.00
2 Years	\$420.00	\$340.00	\$180.00
5 Years	\$600.00	\$450.00	\$220.00
10 Years	\$900.00	\$650.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+3.5% today, likely on the Moderna surge spilling into biotech). AI semis broadly are catching a Wolfe upgrade bid. Anything tied to hyperscaler capex is bid.

COOLING OFF: Tech mega-caps like Meta are wobbling on antitrust trial risk (Bloomberg flagged trillion-dollar liability today) — investors are rotating from platform names into the picks-and-shovels AI infrastructure plays.

ROTATION WATCH: Money is flowing out of "AI application" names and into "AI infrastructure" — that's exactly where MRVL lives. The bet is that infrastructure gets paid first, before app-layer AI monetizes.

RELATED PLAY: If MRVL's custom silicon story keeps winning, watch the memory guys (MU) and advanced packaging plays (AMKR) — those chips need HBM memory and sophisticated packaging to work.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): The original custom AI silicon king — MRVL is basically running the Broadcom playbook, and AVGO keeps grinding higher as hyperscaler orders stack up.
- NVDA (Nvidia): Still the GPU standard, benefits from every dollar of AI capex regardless of who wins the custom chip race.

MRVL CONTEXT: MRVL was lagging AVGO badly through the first half of 2026, trading like the "cheaper AI semi" — today's move is the market repricing MRVL closer to peer multiples. If Google's warrant deal is a signal that MRVL has real pricing power, this catch-up trade has legs.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — the Google warrant is a legitimate business validation, not just hype, and options flow (put/call at 0.36 means way more bulls than bears) confirms smart money is leaning in.

POSITION SIZE: 3-5% of portfolio. It's real business momentum but the stock can swing 10% in a day, so don't oversize it.

ENTRY POINTS: I'd wait for a pullback to \$215-225 before adding — today's 10% pop is chase territory. The stock had a \$216 print two days ago, so that level could get retested on any macro wobble.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for is a second hyperscaler deal announcement (Microsoft would be huge) and Q3 earnings guidance that bakes in the Google economics.

WHEN TO BAIL: If any hyperscaler publicly walks away from custom silicon, or if Q3 guidance disappoints on custom chip revenue growth, I'm cutting. Also watch for CEO Matt Murphy — losing him would be a red flag.

HEDGING: Simplest hedge — trim 25% of the position on any rip above \$270 to lock in gains, then let the rest ride. If you want portfolio-level protection, own some cash or short an overheated AI name against it.